

percent of global market capitalization. They include Argentina, Bahrain, Botswana, Bulgaria, Romania, Saudi Arabia, and Serbia, to name a few.

DEVELOPED-MARKET INDEXES

The most widely followed international index of developed-market countries is the Morgan Stanley Capital International Europe, Australasia, and the Far East Index, better known as the MSCI EAFE. The EAFE Index is composed of approximately 1,000 large-company stocks from 23 developed markets located in Europe and the Pacific Rim. The index is broadly diversified. It is designed to include at least 85 percent of the market value of each industry group within those 23 countries.

The best way to think of the EAFE Index is as a big international S&P 500 that covers all developed countries except the United States and Canada. The EAFE Index is a float-adjusted index and includes only tradable securities. Closely held blocks of stock and industry cross-holdings are not counted. Morgan Stanley does not attempt to control sector weights, country weights, or regional weights in the EAFE Index.

MSCI reports the EAFE Index performance in two ways: one is in local currency, and the other is in U.S. dollars. [Table 7-1](#) provides insight into how much currency fluctuations affect return on a year-over-year basis.

MSCI has published the returns on EAFE and its components since 1970. Index methodology and return information is available for free on www.MSCI.com.

[Table 7-2](#) compares the return on the EAFE Index net of dividends to the return on the total U.S. stock market. Net of dividends includes an adjustment for a foreign withholding tax that some countries place on dividends paid to outside investors.

The EAFE Index underperformed U.S. stocks between 1970 and 2001. In my view, the return on the EAFE Index was very good. The problem was that the return on the U.S. stock market was great. EAFE performance overtook the U.S. market in 2001 and continued in this vein for the rest of the decade. Perhaps we are on the cusp of a reversal this decade, or perhaps not. It is not possible to predict which region of the world will outperform in the future. Accordingly, it is good policy to both U.S. stocks and international stocks in your portfolio at all times.